

ENGLISH **LIVE**

17

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 17

16th February, 2017

Getting the Solar Power Goal on Track

One brief sentence in finance minister Arun Jaitley's Budget speech hints at a potentially transformative strategy to rev up solar energy pan-India. The proposal to feed about 7,000 railway stations with solar power could go a long way in meeting, if not exceeding, the national goal to have 100 GW of functional solar generation capacity by 2022. If the Railways can gainfully leverage land and building space for, say, 20 MW of solar capacity in each of the 7,000 stations, it would greatly increase green, renewable power nationally.

The Railways would be in a win-win situation in switching over to solar power. Given that the Railways pay for power at the highest, commercial rates, sourcing solar power on-site would save money and the environment.



There is widespread energy poverty and the lack of quality power in large parts of India, and concurrently our greenhouse gas emissions are large and rising fast. The way ahead is to speedily concretise forward-looking plans for solar power at rail stations, and focus on meeting lighting demand in adjoining areas too, so as to reap economies of scale. It would gel well with the ongoing plan to revamp and upgrade railway stations. And for the solar assets, there would be much potential for unlocking value and divestment, following listing on the stock market, and sooner rather than later.

The way forward for the Railways is to proactively access funds from the Clean Environment Cess corpus, seek accelerated depreciation, generation-based incentives, etc, and explore other innovative financing options to actualise its solar power targets in a time-bound fashion. The Railways have a path-breaking opportunity to adopt solar power for lighting purposes and, in the process, handsomely boost its market capitalisation. The track is clear; all the way home.

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THE ECONOMIC TIMES

15th February 2017

←
DISCUSSION ON
16th Feb (today)

→
DISCUSSION ON
17th Feb (tomorrow)

Align Banks' Interest with Those of Bankers

A 2009 set of G20 guidelines throws useful light

It is welcome that the government is considering reform of public sector bankers' pay, and stock options and bonuses are being examined. Banking culture has to change dramatically, particularly in the public sector; and the only way to attract and retain top talent is to reward them as well as alternative employment would. Bankers would abandon underhand methods of enriching themselves if open, transparent mechanisms are instituted, to reward them for sound decisions and the hard work that must necessarily precede the hard work.

It would be useful for the Banks Board Bureau and the government to take on board some guidelines firmed up by the G20 and the Financial Stability Board in 2009 on the subject. There has to be a clear distinction between employees whose work has a material impact on the performance of the bank and the rest. Corporate governance and regulatory and capital adequacy considerations must inform compensation decisions. Banks must disclose compensation decisions—these must be made public and reported to regulators. Two-fifths to three-fifths of the remuneration of senior managers whose decisions have a material impact on the working of the bank must be as a variable component. The variable component should be deferred for at least three years and paid out mostly linked to bank stocks, to align individual and bank interests. Liberal incentives must have not just deferral but also claw-back provisions built into them, so that when a time bomb on the banks' books goes off, those who lit its slow fuse would pay, even long after they have left the bank. Experts and independent reviewers must be engaged to design and monitor bankers' pay.



It would be useful to bring in similar guidelines for private sector banks, too. That would mean limiting the scope of union-bargaining for pay and allowances to the ranks of the junior staff and workers in departments whose working does not materially affect bank performance. Restructuring bankers' pay, in other words, calls for expertise, transparency and, above all, political will.

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Getting the Solar Power Goal on Track

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There is widespread energy poverty and the lack of quality power in large parts of India, and concurrently our greenhouse gas emissions are large and rising fast. The way ahead is to speedily concretise forward-looking plans for solar power at rail stations, and focus on meeting lighting demand in adjoining areas too, so as to reap economies of scale. It would gel well with the ongoing plan to revamp and upgrade railway stations. And for the solar assets, there would be much potential for unlocking value and divestment, following listing on the stock market, and sooner rather than later.

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Getting the solar power goal on track

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Getting the solar power goal on track

- One brief sentence in finance minister Arun Jaitley's Budget speech hints at a **potentially transformative** strategy to **rev up** solar energy **pan-India**.
- The proposal to feed about 7,000 railway stations with solar power could **go a long way** in meeting, if not exceeding, the national goal to have 100 GW of functional solar generation capacity by 2022.
- If the Railways can gainfully **leverage** land and building space for, say, 20 MW of solar capacity in each of the 7,000 stations, it would greatly increase green, renewable power nationally.
- The Railways would be in a **win-win** situation in switching over to solar power. Given that the Railways pay for power at the highest, commercial rates, sourcing solar power on-site would save money and the environment.
- There is **widespread energy poverty** and the lack of quality power in large parts of India, and **concurrently** our greenhouse gas emissions are large and rising fast.
- The **way ahead** is to speedily concretise forward-looking plans for solar power at rail stations, and **focus** on meeting lighting demand in **adjoining** areas too, so as to **reap economies of scale**.
- It would **gel** well with the ongoing plan to **revamp** and **upgrade** railway stations. And for the solar assets, there would be much potential for unlocking value and **divestment**, following listing on the stock market, and **sooner rather than later**.
- The way forward for the Railways is to **proactively** access funds from the Clean Environment Cess corpus, seek accelerated **depreciation**, generation-based **incentives**, etc, and **explore** other **innovative** financing options to actualise its solar power targets in a time-bound fashion.
- The Railways have a **path-breaking** opportunity to adopt solar power for lighting purposes and, in the process, handsomely **boost** its **market capitalisation**. The track is clear, **all the way** home.

Getting the solar power goal on track

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Getting the solar power goal *on track*

One brief sentence in finance minister Arun Jaitley's Budget speech hints at a *potentially transformative* strategy to *rev up* solar energy *pan-India*.

On track

- *Ravichandran Ashwin is **on track** to create world record as the highest wicket taker.*
- *Polavaram irrigation project is **on track** and most likely to be commissioned by 2019.*



On track

Making progress / on schedule / progressing as planned

Potentially

*It is **potentially** dangerous to travel during night time in some areas of Detroit.*



Potentially

Possibility that something might happen / possibility of becoming actual

Transformative

*Pradhan Mantri Gram Sadak Yojana is potentially a **transformative** project of rural India.*



Transformative

Causing a major change to someone or something to make it better

Rev up

*Reliance Jio is getting
Revved up for the launch
of new products.*



Rev up

To become more active / to make someone or something become more active

Pan-India

- *Airtel and Vodafone are the telecom companies having **Pan-India** presence.*
- ***Pan-India** presence is required for financial viability of telecom projects.*



Pan-India

PAN means “Presence Across Nation”

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Go a long way

*Shifting to digital mode of remittances will **go a long way** in widening the tax net.*



Go a long way

Will be sufficient / will be adequate / will be successful

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Leverage

*The organisation can reach greater heights, if it makes **leverage** of its resources.*



Leverage

To use an available resource, in order to achieve something better

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Win-win

The proposed merger of Vodafone & Idea will be **win-win** situation for both the companies.



Win-win

Mutual benefit in human interactions

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There is *widespread energy poverty* and the lack of quality power in large parts of India, and *concurrently* our greenhouse gas emissions are large and rising fast.

Widespread

There is **widespread** poverty across the African region.



Widespread

Existing / happening in many places

Energy poverty

17% of global population lack access to electricity.



38% of global population lack clean cooking facilities.

Energy poverty

Lack of access to modern energy services

Concurrently

*The two super hit movies are being telecast **concurrently** by rival TV channels.*



Concurrently

Happening or existing at the same time

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Way ahead

*"I am **way ahead** of you. I have already completed preparation of Banking Awareness & Current Affairs."*



Way ahead

In advance

Focus

*The primary **focus** of the CMD is to improve the productivity.*



Focus

Central or most important thing for a company or organization

Adjoining

*All the members of the family want **adjoining** seats in the cinema hall.*



Adjoining

Near / next to / touching

Reap



Rooftop farmers **reaped** a rich harvest.

Reap

To cut and collect grain



The shareholders **reaped** the benefits of the boom in IT stocks.

Reap

To make a large amount of money / profit

Economies of scale

500 cards



Each costs Rs. 10

5,000 cards



Each costs Rs. 8

Economies of scale

Cost advantage that arises with increased output of a product

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Gel

I have been using this hair gel for the past 20 years.



Gel

Liquid

They talked a lot about starting a company, but their plans never gelled.



Gel

Become firm

Revamp



*The office was
revamped recently.*

Revamp

Complete rearrangement / reorganization / revision

Upgrade

Important stations of Indian Railways are being **upgraded** with the provision of escalators, lifts etc.



Upgrade

To raise to a higher grade or standard

Divestment

DISINVESTMENT

LIVE



DISINVESTMENT

MINORITY STAKE SALE

Selling part of the stake by keeping majority stake of at least 51% by the Govt.

STRATEGIC SALE

Selling majority stake or selling PSU entirely. Govt. will come out of management control or sell it completely. This is privatisation

Divestment

Sooner rather than later

*Our educational
institutions should be
upgraded to world
standards **sooner rather
than later.***



Sooner rather than later

Without too much delay

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Proactive

*Government officers must be made more accountable, to make them more **proactive***



Proactive

Taking action to make changes yourself

Depreciation



Depreciation

The process of losing value / loss in value is accounted for every year in companies for tax purposes

Incentive

Cash *incentives* will go a long way in increasing digital transactions



Incentive

Something that encourages a person or organization to do something

Explore

*The best way to **explore** rural areas in India is to travel on foot.*



Explore

To search and discover about something

Innovative

Innovation and scientific temper must be inculcated in young minds so as to take country forward



Innovative

Using new methods or ideas

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Path-Breaking

*Their **path-breaking** research on gene editing opened up a new era in cancer treatment.*



Path-Breaking

Innovative / pioneering / very original

Boost

Liberalisation
has given
boost to the
Indian
economy in
many ways.



Kerala State
Government
took several
measures to
boost its
tourism.



Boost

Increase / improve

Boost

Encourage / Help

Market capitalization

*TCS is leading in **market capitalization** in our country.*



Market capitalization

Company's total shares outstanding multiplied by current market price



All the way

Ramesh ran **all the way** home.



All the way

Entire distance / from start to finish

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